

25SMCV03160 25SMCV03160

County: los-angeles

Division: Civil Law and Motion

Department: I

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This is a continuation of the motion to approve the sale. The court issued a detailed tentative at the last hearing. However, during oral argument, plaintiffs orally in court offered to “sweeten the deal” significantly. As a result, the court told the parties (all of them) to discuss whether the receiver believed that the new deal was such that he still wanted to proceed with the sale. At the end of the day, the receiver and Bobs had worked out a term sheet. Although it states that it is “non-binding,” Bobs made it clear at the hearing that it was in fact binding, and the receiver’s view was predicated on that understanding. Based on the term sheet—which was binding but anticipated to be superseded by a long form agreement—the receiver tentatively withdrew the motion for sale. It is fair to say that defendants were somewhat miffed. They contended that a hastily drafted agreement ought not be approved by the court. The court tentatively approved the agreement subject to defendants’ ability to file objections prior to this hearing, which they did. Part of the pressure was that Hankey—the buyer who was the subject of the receiver’s motion—had given a “drop dead” date of July 10, 2026, to accept his offer or it would be deemed rescinded. That meant that there was no time to commission a neutral valuation expert or the like. Since then, apparently everyone has continued to negotiate. Hankey did not rescind the offer and is still willing to bargain. Bobs is also bargaining. Defendants contend that there are lots of terms that are ambiguous.

So here is where we are.

First, if the receiver is withdrawing the motion, there is no sale before the court to approve. It is the receiver's motion, and, frankly, the odds that the court will approve the sale based solely on a motion by the defense is thin. Second, this is no way to run a railroad. Hankey is still negotiating notwithstanding his deadline. The court is not sure that Bobs has finished negotiating. The receiver is still negotiating. If this were a \$50,000 item, that might be ok, but this is a nine digit issue. The court simply is not going to be pressured in this way. Not by Bobs, not by defendants, and not by Hankey.

There is no basis to rule on anything today. The record is too murky and the court does not even know what the current deals are.

As the court warned the parties, it is going on medical leave for four weeks starting Monday. So here is what we will do. The motion is CONTINUED

until a date after the court's return to be set today with consultation with all parties. The court will order that anyone who wants to be heard on this motion will submit a LAST, BEST, AND FINAL offer no later than 21 days before the hearing.

There will be no sweeteners or amendments to that last, best, and final. No later than 10 calendar days before the hearing, the receiver will file papers recommending which deal, if any, the receiver supports and the reasons therefor. No later than 5 court days before the hearing, any party opposing the receiver's recommendation may file papers explaining why. Hankey is expressly invited to participate in this process.

The court will make a ruling based on the proposed deals and the receiver's recommendation and any other papers filed.

If Hankey walks, then he does.

But at this stage, with further negotiations occurring even after last week's hearing, the court simply does not believe that it has an adequate basis to accept or reject Bobs' term sheet and it is not clear where the receiver even stands at this moment.